

How To Analyze A Deal

A Step By Step Guide For Students

Lux Blueprint

This guide teaches you how to look at a deal and figure out the most you should offer. We call that number the MAO, which stands for Maximum Allowable Offer. Our whole game is land for luxury new builds. A developer wants to buy a lot, tear down the old house, and build something big and expensive. So our job is to find lots they would want and figure out a price where the developer can still make good money.

The one thing to remember

Your job is to find a price you can defend. Picture yourself talking to a developer. You want to be able to say: "This is the best lot you can get at this price, and here is the proof." If you can prove it with comps, you have a real number.

Step 1: Find Out What The Seller Wants

Before you do anything else, you need to know what the seller wants for the property. As a student, you get this by talking to the seller yourself. Ask them their asking price and how fast they want to close, then write it down. You need this number so you have something to compare your final offer to.

Example: a seller might tell you they want \$1.25 million and a 60 to 90 day close. Get that number out of the seller before you start running comps.

Step 2: Pull The Property Up On Zillow

Copy the property address and paste it into Zillow. The first thing to look at is the top left of the listing. It will say off market, for sale, or sold. This tells you the story of the property.

- If it says for sale, stop and move on. We do not deal with listed properties. A home on the market is already out in the open with an agent, so there is no room for us to work. Mark it dead and go to the next one.
- If it sold recently, scroll down to the price history to see when and for how much.
- If something looks odd, make a note of it. For example, one property was listed as sold for \$960,000 but the seller was asking \$950,000. That is strange, so we kept digging.

Step 3: Make Sure The Area Has Luxury New Builds

This is a make or break check. We only want areas where developers are building big, expensive homes. Scroll out on the Zillow map and look around. You want to see new build homes selling for over \$2 million, and they have to be in the same neighborhood as your lot.

Same neighborhood means you do not cross anything that splits the area in two. Do not count a home if you have to cross a main road, a river, a canal, or any other big divider to get to it. A house on the other side of one of those lines is in a different market, even when it looks close on the map. Only homes on your side of those lines count.

- If you see plenty of new build homes over \$2 million in the same neighborhood, the area passes. Keep going.
- If you see nothing close to that, the deal is most likely dead. There is no point offering on a lot for luxury builds in an area where no one builds luxury homes.

Tip: do not give up after one look. On one deal it looked like there were no good comps at first. We switched the filter to Sold and found some after all. Always double check by looking at Sold listings too.

Step 4: Open A Second Zillow Tab

Here is a trick that makes life easier. Open the same property in two Zillow tabs.

- Use the first tab to stay focused on your property. This is where you check the address, the lot size, and the cross streets when you forget them.
- Use the second tab to move around the map and click on comps. A comp is a comparable property nearby that helps you figure out value.

This way you never lose your spot. One tab holds your property and the other tab does the digging.

Step 5: Look At The Lot, Not Just The House

Remember, we are buying land for a teardown. So the lot matters more than the house. On Zillow, scroll down to the second map, the one that shows lot lines. Then check these things.

Lot Size

Write down the lot size in square feet or acres. You will compare your lot to other lots, so you want to find comps with a similar lot size.

Main Roads

Look at the streets around the property. If your property sits on a main road, that hurts the price. You can tell a main road because it usually has three or more lanes. Another dead giveaway is yellow lines down the middle of the road. If a road has yellow lines, treat it as a main road even if it only has two lanes. Luxury developers do not like building on busy main roads, so a lot on a main road is worth less. When you compare, try to find other lots that are also on a main road so it is a fair match.

Lot Lines And Buildable Area

This one is big and most people skip it. The lot size on paper is not always the space you can actually build on. Zoom in on the lot lines and look at the real shape of the lot.

Real example: the cul de sac lot

One property was on a cul de sac and looked like a nice big 0.42 acre lot. But when we zoomed in on the lot lines, a big chunk of the lot was taken up by the curve of the cul de sac. That part is yours on paper, but you cannot build on it.

Once we cut out the part you cannot build on, the real buildable area was about 0.28 acres. That put it right in line with the smaller lots nearby. So instead of a high offer, the right MAO was \$1.1 million.

Lesson: always check how much of the lot you can actually build on.

Step 6: Find Your Comps

Now you find comps to figure out value. You are looking for two things: what new builds sell for in the area, and what people paid for the raw land or teardown lots. Here is how to read them.

New Build Comps

Filter for homes built in the last couple of years. These show you the high end, what a finished luxury home sells for in this area. Click one, check the lot size and the year built, then scroll to the price history and write down the price from when it last sold. That last sale price is the one you want. It only helps you if the sale happened within the last few years. If the last sale is older than that, the price is too out of date to trust, so leave it out.

Teardown And Land Comps

These are the most important comps for us, because they show what people actually paid for a lot like yours. Look for older, smaller, run down houses on lots similar to yours, and see what they sold for. A 1,400 square foot old house on a good lot that sold for \$960,000 is most likely a teardown buy, not a home buy.

A great trick is to find a new build, then scroll down to its price history to see what the builder paid for the lot before they built. That tells you the real land value.

Use More Than One Comp

Never hang your number on a single comp. Sometimes a sale price includes extra things like permits, plans, and architectural drawings, which makes it look higher than the land alone. Get several comps in the same area so you can see the real range.

Example: in one neighborhood we saw a lot sell for \$1.3 million, another for \$1.4 million, and one in the middle for \$1.8 million. The \$1.8 million one was likely high because something extra was sold with the lot, like architectural plans or building drawings. With three comps we could see the real range was around \$1.3 to \$1.4 million.

The Water Rule

If your property is on the water, you only compare it to other properties on the water. Waterfront carries a big price bump, especially in places like Florida. So you do this:

- If your lot is on the water, only use waterfront comps.
- If your lot is not on the water, never use waterfront comps. They will make your number way too high.

Example: a student said his land was worth \$1.4 million and pointed to a comp at \$3.1 million on the same size lot. But that comp was on the water and his property was not. Waterfront and non waterfront are two different worlds. After using the right comps, the real MAO was around \$750,000.

How To Get Your Number

By now you have your comps. This is where you turn them into a real offer price. Do not guess. To get your number, you do three things. Each one shows you what a developer really pays for land like yours. When you put all three together, you get a number you can trust.

Method 1: New Builds That Are For Sale Right Now

Pull up as many luxury new builds for sale near your lot as you can. For each one, scroll down to the price history. You are not after the list price of the finished home. You want the day the developer first bought the lot, before they built anything. That older, lower sale is what the developer paid for the land. Write that land price down for each new build, then take the average of all of them. That average is your starting land value.

One more step. If a developer bought the lot a few years ago, that price is old. Land has gone up since then, so you bump it up for how much that market has grown. You can ask Claude or do a quick Google search for how much homes in that area went up each year. Then add that growth on top. Here is the bump in action: a developer paid \$800,000 for a lot three years ago, and that market goes up about 5 percent a year. You add about 5 percent for each of the three years, which lands you near \$925,000 in today money. Use the grown number, not the old one.

Method 2: New Builds That Already Sold

Now do the same thing with luxury new builds that already sold. Find as many as you can. Open each one and scroll to the price history. Again, look past the big final sale of the finished home. Find the earlier, smaller sale where the developer bought the raw lot, and write that land price down. Take the average of these too. And just like before, if the developer bought a few years back, bump the price up for market growth. Sold new builds are great because they show the full story, from raw land all the way to the final sale.

Method 3: Teardowns That Sold

The third method is to find teardown lots that sold near you. A teardown is an old house that someone bought just for the land. They plan to knock it down and build new. These sales show you the land value straight up, with no building math needed. Here is how you spot a likely teardown:

- The house is old. It was built 30 years ago or more.
- The house is small for the lot. Look at the home square footage, not the lot square footage. If the house is under 25 percent of the size of the new builds going up nearby, it is almost surely a teardown. So if the new builds in the area are 6,000 square feet, a house under 1,500 square feet is a strong teardown sign.

One more thing: use the eye test. Pull up the photos and look at the house. It should look a bit run down, older, or never updated. If the place looks fresh and fixed up, it is probably not a teardown, even if it is old or small. Trust your eyes here.

Write down what each teardown sold for, then take the average. Bump it up for market growth if the sale was a few years back.

Put All Three Together

Now you have three numbers. One from new builds for sale, one from new builds that sold, and one from teardowns. Line them up side by side. They should land in the same range. If one is way off from the other two, look closer. That odd one may have extra costs baked in, like permits or plans, or it may be a bad match. Drop it or fix it. When your three numbers agree, you have a strong land value. That is the number you carry into picking your MAO.

A Full Example

Say you are working a lot, and the new builds nearby sell for around \$3 million and run about 6,000 square feet.

Method 1, new builds for sale: you find three and check each price history. The developers paid \$900,000, \$950,000, and \$1,000,000 for their lots. The average is \$950,000. Two of those buys were two years ago in a market that grows about 4 percent a year, so you bump those up a little. Your Method 1 number lands near \$985,000.

Method 2, new builds that sold: you find two more. The developers paid \$920,000 and \$980,000. The average is \$950,000. After a small bump for growth, call it \$975,000.

Method 3, teardowns: you find two old houses that sold for the land. One was built in 1962 at 1,300 square feet and sold for \$930,000. The other was built in 1970 at 1,400 square feet and sold for \$1,000,000. Both are under 25 percent of the 6,000 square foot new builds, so both are teardowns. The average is \$965,000.

Now line them up: \$985,000, \$975,000, and \$965,000. They all sit close together, right around \$975,000. That is your dispo price. From here you go to Step 7 and pick a safe MAO under that number, so you have room to win the deal.

Step 7: Pick Your MAO And Stay Conservative

Now you set your number. The price you landed on from the three methods is your dispo price. That is the price you can turn around and sell the lot for. Your MAO is lower than that. To get your MAO, take your dispo price and subtract \$100,000 to \$150,000. That gap is your room to make money, and it keeps your assignment fee in the six figures, which is the whole point.

If you want to be more liberal with your offers and you are fine making less, the least you should ever subtract is \$50,000. Just know that is not what we push for at Lux Blueprint. We want that six figure fee, so \$100,000 to \$150,000 is the goal. Always lean toward the safe, lower MAO. The worst thing you can do is push a high number and then fail to move the deal.

How to think about your number

Pick the price where you could look a developer in the eye and say: “You can buy this lot for X, build, and sell for around Y. That is a great deal.” If the math leaves the developer plenty of room, your number is right.

Example: on one lot your three methods landed on a dispo price of around \$600,000. We set the MAO at \$500,000 to be safe. At \$500,000 we could clearly say the lot was a strong buy, sell it for around \$600,000, and lock in a \$100,000 assignment fee. Safe beats sorry every time.

When To Kill A Deal

Not every deal is worth chasing. Mark a deal as dead when any of these are true.

- No luxury new builds. The area does not have homes selling over \$2 million, so there is no developer demand.
- Already listed. The property is publicly listed on the MLS, or it is listed for sale by owner.
- Price too far off. The seller wants so much that your MAO would be way below them, with no room to meet.

There is also Incomplete. If the deal is missing key info, like there is no real asking price, you cannot run it. For example, a seller asking price that just says “above market value” is not a number. Mark those as incomplete instead of dead.

Quick Recap

1. Find out what the seller wants by talking to them.
2. Pull it up on Zillow and check off market, for sale, or sold.
3. Make sure the area has luxury new builds over \$2 million.
4. Open a second Zillow tab so you never lose your property.
5. Study the lot: size, main road, and real buildable area.
6. Find new build comps and teardown comps, and use more than one.
7. Turn your comps into a number using the three ways: new builds for sale, new builds that sold, and teardowns.
8. Use only waterfront comps for waterfront lots, and never mix them.
9. Pick a conservative MAO you can defend to a developer.
10. Kill deals with no luxury builds, MLS listings, or prices too far off.